IMPORTANT NOTICE

The Depository Trust Company

B #:	B25123-26
Date:	October 8, 2026
To:	All Participants, Third-party Service Providers and Other Entities that Connect to DTC
Category:	DTC Settlement Modernization
From:	Product Management
Attention:	Technology Risk Officers and Managers, Technical Connectivity Managers
Subject:	Required Settlement System Updates and Key Milestones Towards November 2027

On September 10, 2026, DTC issued Important Notice B24776-26, which advised all DTC Participants and any third-party service providers, service bureaus or other entities that connect to DTC on behalf of, or for the benefit of, one or more Participants (collectively, "**Covered Entities**") that they must complete the required updates to their systems before the effective date of DTC's settlement modernization. That notice further advised that the effective date would be in November 2027, with the specific date communicated through a subsequent Important Notice.

DTC hereby announces that **the effective date of DTC's settlement modernization will be Monday, November 8, 2027** (the "**Effective Date**"). **Implementation and cutover activities** are expected to occur **over the weekend of November 6 and November 7, 2027**, in preparation for the production launch on the Effective Date.

Beginning on the Effective Date, all Covered Entities must be operationally connected to and use DTC's modernized settlement services. The modernized services will include changes to connectivity, data delivery, messaging, reporting, settlement workflows, and settlement profiles.

As stated in Important Notice B24776-26, any Covered Entity that has not completed the Required Settlement System Updates by the Effective Date will not be able to access DTC's settlement services. Failure to complete the required Covered Entity testing activities in accordance with the required timeline in advance of the Effective Date may also result in adverse action by DTC, as applicable, including sanctions, and the reporting of non-compliance to relevant U.S. securities and banking regulators.

Required Covered Entity Testing Activities

All Covered Entities must complete all testing activities relevant to their organization, operating model, and use of DTC settlement services, including the following activities:

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- Complete all required onboarding to DTC's testing and production environments to begin testing and prepare for production launch.
- Update messaging interfaces and processing to support the applicable future-state standards, including ISO 20022.
- Update systems and procedures to consume modernized reports and data outputs.
- Validate the readiness of service bureaus, vendors and other third parties relied upon by the Participant.
- Update operational procedures, controls, exception-management processes, business-continuity arrangements, and production-support models.
- Complete a network circuit capacity assessment and make any required bandwidth upgrades before the modernization go-live, so connectivity can support expected production volumes, including ISO 20022 messaging.
- Complete production-readiness certification and attestation requirements communicated by DTC (more information on this requirement will be provided in upcoming Important Notices).

To successfully meet the Effective Date, DTC will be monitoring Covered Entities' readiness against a core set of activity milestones:

Activity Milestone	**Description**	**"At Risk" of Meeting Effective Date If Activity Is Not In-Progress**	**Target Completion Date**
Connectivity and Entitlements – PSE-A*	Establish and validate connectivity and entitlements for testing against the modernized settlement environment.	November 30, 2026	January 31, 2027
Data Delivery – PSE-A*	Complete applicable data-delivery profiles, subscriptions, and output validation for the modernized environment.	February 28, 2027	March 31, 2027
Functional Testing Modernization and Attestation – PSE-A*	Complete applicable functional, integration, regression, negative and operational testing, including ISO 20022 messaging, enhanced settlement workflows and settlement profiles, new CSV report output, enhanced Settlement Web 2.0 capabilities, and submit DTC readiness attestations.	April 30, 2027	September 30, 2027

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Activity Milestone	Description	"At Risk" of Meeting Effective Date If Activity Is Not In-Progress	Target Completion Date
Production Readiness	Complete internal due diligence, resolve material defects and dependencies, and obtain required internal approvals.	May 30, 2027	October 15, 2027

* PSE-A is the testing environment that will be used for all Cover Entities to test the DTC settlement modernization functionality

Optional Migration Period

On November 13, 2026, Cover Entities may begin migrating to the new ISO 20022 transaction message format supporting current settlement functionality, in production, prior to the Effective Date. Covered Entities planning to migrate to production prior to the Effective Date must test ISO 20022 message formats and applicable scenarios, including providing DTC with an attestation of the requisite testing, prior to activation. DTC will close the migration window sometime in Q3 2027, to finalize preparations for the full transition and launch of DTC settlement modernization.

Additional Information

Additional information on DTC settlement modernization is available on the DTCC Learning Center, under the Settlement Release page, including testing documents, message specifications, reporting specifications, and the Transformation Integration Series webinars.

The Required Settlement System Updates are described in detail on the DTCC Transformation site, where Covered Entities can find the Functional Change Document, Settlement Milestone Client Checklist, Client Testing Framework and Scripts, Transformation Functionality Client Checklist, and Transformation Insight Series webinars.

Covered Entities that have any questions about the Required Settlement System Updates, activity milestones or readiness-monitoring process, or planning to leverage the ISO 20022 migration period should **reach out immediately** to DTCCTransformation@dtcc.com or their DTCC Relationship Manager.

Please note that the launch of auto-partial settlement functionality, including optional partial settlement and related partial delivery authorization, will not be on the Effective Date but, instead, will be at a later date. More information on auto-partial settlement will be provided in an upcoming Important Notice.